

# 1H26: 29% revenue drop but resilient margins

## Quick Note

### Revenue down 29% y-y on softening China demand and Saudi base; GM up 1.6ppt

Sungrow's 1H26 revenue fell 29.0% y-y to CNY30.9bn, as the Document 136-driven soft demand in domestic solar installations (72GW in 1H26 vs 212GW in 1H25, per NEA data) and last year's Saudi mega-project base outweighed 8% overseas solar installation growth and >30% global energy storage system (ESS) installation growth. By segment, inverter revenue fell 19.2% y-y to CNY12.4bn; and ESS revenue fell 13.2% to CNY15.5bn despite shipments up 28% y-y to 25GWh. Gross margin rose 1.6ppt y-y to 35.9% on mix — a lower share of low-margin development revenue and a higher European share within inverter/ESS — with inverter GM up 7.0ppt to 42.7% but ESS GM down 7.5ppt to 32.4% on lithium cost pass-through and intensifying competition. 1H26 opex ratio rose 4.2ppt y-y to 16.1%, as absolute opex fell only 3.7% with R&D expense still up 2.9%. 1H26 net profit fell 32.0% to CNY5.3bn and basic EPS to CNY2.56 (-31.4% y-y), tracking the smaller gross-profit pool and partially offset by CNY0.4bn lower asset impairments.

### 2H26E ESS shipments to exceed 60% of full year on Europe upgrade

Management guided 2H26E ESS shipments to exceed 60% of full-year volume (1H26: below 40%), and raised its 2026E European ESS market estimate to 74GWh from ~60GWh — nearly double the 37GWh of 2025 — citing the EU's 200GW-by-2030 storage target and widening peak-trough spreads in markets such as Poland, Germany and Spain. In addition, management expects the European market to exceed 100GWh in 2027E with >50% y-y growth. On profitability, management expects inverter gross margin broadly stable but large-scale ESS gross margin likely to decline over the long term, on regional revenue-recognition mix, and lagged lithium-carbonate pass-through. In the long term, AIDC (artificial intelligence data center) is the new growth engine: management commented that SST (solid-state transformer) products have been shipped to operating data centers, with 13.8/10kV products entering commissioning and first orders expected from 4Q26E, 35kV R&D completing by 1H27E and mass delivery in 2028–30E. In addition, AIDC orders already stand at ~2GWh, with over a dozen projects under tracking, and management sees >100% CAGR for AIDC-related business over 2027–28E. For the US market, the company is pivoting toward distributed and distribution-grid business, with no local manufacturing planned for now, and expects distributed, and non-US markets to offset any US market slowdown.

### Our read: Compliance, re-certification and HBOM/SBOM, is the new cost line

Policy tightened further. On 27 August, President Trump's executive order declared a national emergency and moved to bar procurement and installation of certain foreign-made bulk-power-system equipment, tasking the Department of Energy with detailed rules (*Reuters news*). Management commented the FCC's (Federal Communications Commission) early-August clarification takes pure AC/DC conversion — including its AIDC SST power supplies — out of FCC scope, although local-communication functions were newly captured; it added that the current ESS business remains within the OBBBA (One Big Beautiful Bill Act) safe harbor and that legacy inverter/PCS models retain several years of runway. **Our read:** US and EU market access is likely to be preserved for certain products, but compliance cost rises structurally (*Compliance cost rises across the US and EU*) — re-certification, component re-sourcing, software and data localization and HBOM/SBOM ((hardware/software bill of materials)) dossiers in the US; and in Europe, Poland production at a 12-18% cost premium over China (narrowing to 4-5% net of low-interest financing), local-content thresholds of 40/60/70% for 2026/27/28 under the Net-Zero Industry Act, and non-China cells required from 2028. We maintain our Neutral rating on Sungrow, the stock currently trades at 11x 2027F P/E (EPS of CNY8.78).

|                              |            |
|------------------------------|------------|
| Rating Remains               | Neutral    |
| Target price Remains         | CNY 120.00 |
| Closing price 28 August 2026 | CNY 97.69  |

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# Appendix A-1

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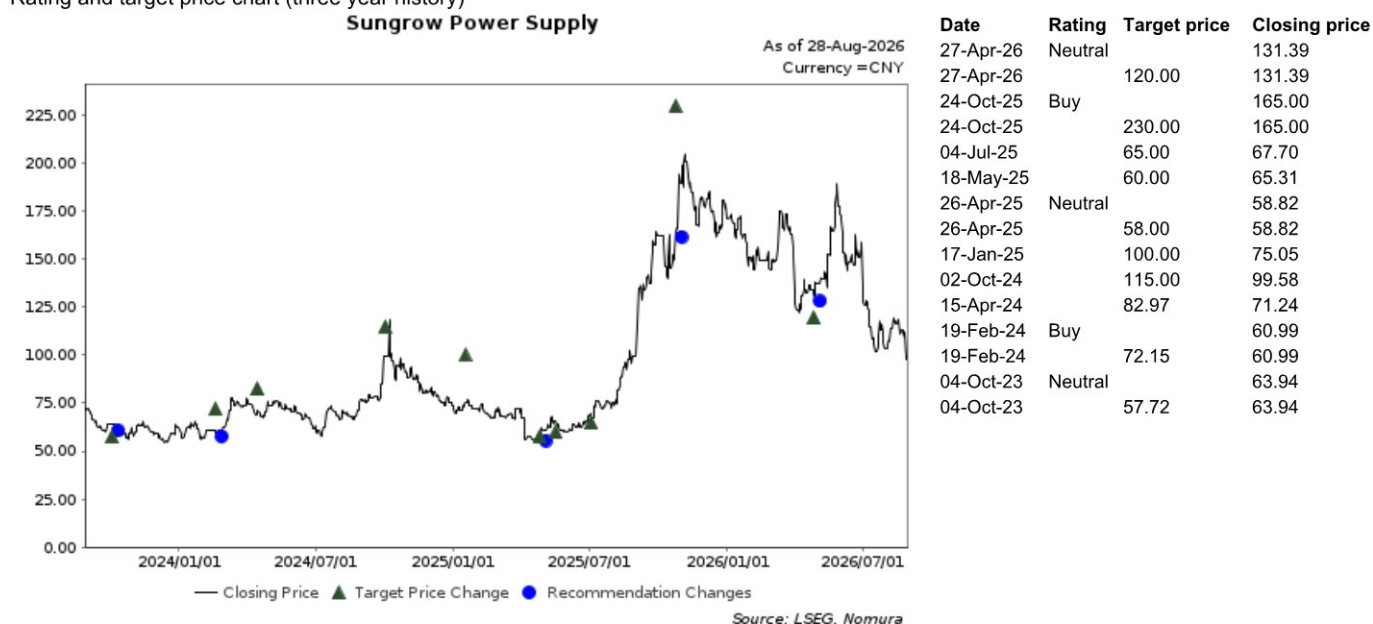
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| Issuer               | Ticker    | Price     | Price date  | Stock rating | Sector rating | Disclosures |
|----------------------|-----------|-----------|-------------|--------------|---------------|-------------|
| Sungrow Power Supply | 300274 CH | CNY 97.69 | 28-Aug-2026 | Neutral      | N/A           |             |

### Sungrow Power Supply (300274 CH)

CNY 97.69 (28-Aug-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

**Valuation Methodology** We use P/E method to value Sungrow and our TP of CNY120 is based on 14x 2027F P/E, -0.2x SD of its historical average at 17x, which is due to declining gross margins in 2026-28F. The benchmark index is CSI300.

**Risks that may impede the achievement of the target price** Upside risks include: 1) faster ESS development in data center clients; 2) better gross margins due to stable battery prices. Downside risks include: 1) policy headwinds for ESS business; 2) softening utility-scale project demand.

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